

The Coca-Cola Company

Proof is in the P&L

New year, new angle to the ongoing KO transformation narrative.

It feels to us as if KO's financial profile is now more firmly positioned in a "post-refranchising" state - that is to say, the once seemingly elusive benefits of operating via a franchise model seem increasingly apparent. The total System is generating healthy growth and for KO in particular, this will require relatively limited incremental capital to sustain it moving forward (suggesting an improving incremental returns picture). And while KO's margin trajectory and return profile have changed, we would argue the multiple has not (yet). We expect 2024 will prove to be another year of positive operating leverage and improved returns, and we expect this to ultimately be better reflected in valuation.

We think the improved alignment across the Coke System, between KO and its bottlers – and the ways in which this is supporting shared growth ambitions – is well understood by the market at this point. But at the same time, we think the full financial implications of stronger revenue growth remains underappreciated particularly by virtue of KO's new ways of working including organizational structure (global category teams, consolidation across global business units, global shared services) and a new marketing & innovation model. Whereas KO long operated as what could be seen as a confederation of fiefdoms, today we see a company that runs under one, cohesive set of strategies and with enterprise-wide capabilities and processes that can be leveraged globally. And so, while we've written extensively about KO's reorganization and enhanced System alignment, we think there is new perspective to be offered with a discussion of the improved operating leverage and return profile these changes have enabled.

The basis of KO's top-line led strategy is to sustainably grow +4-6% (if not the upper half of that range), which we believe the company has comfortably positioned itself to achieve. But moving down the P&L, we had yet to really see the benefit of positive operating leverage emerge in recent past – at least until 2023 which strikes us as the first year this dynamic materialized under KO's revamped operating model. **Importantly, we see scope for visible & consistent operating leverage looking ahead and we expect this will have positive knock-on effects for the efficiency of KO's capital investments in the business.** At a high level, while historically one of the most common questions asked of KO management by investors was for a "walk around the world" to discuss individual geographic market trends, today there are a long list of enterprise wide initiatives that are of true, long-term strategic interest. In particular, the company's new marketing & innovation models are prime examples of this which we discuss in more detail below as a case study for how this is playing out.

CORE

KO	OVERWEIGHT
U.S. CHPC & Beverages	NEUTRAL
Price Target	USD 66.00
Price (17-Jan-24)	USD 59.99
Potential Upside/Downside	+10.0%

U.S. CHPC & Beverages

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Proof is in the P&L

From our perspective, over the past two years there has been plenty to see in terms of how KO's organizational and strategic changes have allowed for better System alignment and ultimately stronger growth, and we have written extensively on this topic. But we think the corresponding improved profitability has flown under the radar so far (e.g. +HSD growth in gross profit per \$1 of ad spend in 2022 vs. 2019). Looking ahead, we think 2024 will be the year that puts the practical benefits of KO's new marketing & innovation model on full display – that is, the positive operating leverage that can emerge from KO's enterprise-wide pursuit of more efficient growth.

Executing at scale

There is inherent scale in the KO System, and the company is reframing core capabilities to better capitalize on that. Recall much of KO's transformation was about removing unnecessary complexity so the System could expand good ideas with less friction. In that vein, we view the company's streamlined marketing model as one of the first (and best) examples of creating a scalable asset on which KO can now realize higher returns on its >\$4bn global annual marketing budget. Historically, there were considerable wasted resources (financial and strategic) across this marketing budget given the company worked with over 6,000 different agencies. Today, KO focuses its activities via a single relationship with WPP - structured as 200 agencies united under the WPP umbrella, referred to as "StudioX". Within this, there are eight different marketing capabilities (e.g. production, adaption, ad ops) all working together directly as a team in each of StudioX's nine physical hubs (one per operating unit) versus under more typical models where these work streams could all be managed independently, adding time, complexity and potentially conflict to the process. KO has similarly structured & centralized its packaging innovation work via its Packaging Engineering Technology Center (PETC), where collaboration can run more seamlessly from start to finish because all necessary personnel are working together under one roof in a more coordinated manner.

Less complexity & better coordination is allowing for more & bigger ideas, being executed under an a new, experiences-oriented mindset. KO has previously discussed its transition from a traditional TV-centric model to a digitally-led one, with TV's portion of global media investments migrating from 71% in 2019 to <50% in 2023. But looking beyond the digital push, the structural changes in place are now enabling a more comprehensive shift from TV to a full experiential model that spans product, digital, retail and live experiences. And delivering on this complete suite of concepts means operating 24/7 as a dynamic content-creation machine that processes thousands of ideas - a drastic difference from the past when a single idea's development could span a quarter+ at a time. This experiences-based approach reinforces to us 1) KO's extensive understanding about the ways in which consumers engage with its brands and 2) how its consumer-centric framework is being put into practice around the globe.

In terms of innovation, KO is driving higher hit rates on scaled bets through improved data collection and analytics capabilities. KO is leveraging first-party marketplace data and social media to create differentiated consumer insights, including access to over 20bn conversations in 10+ languages. The investments made in recent years in analytics means the company can compile a more authentic read on consumers and market opportunities. And these insights ultimately help to answer the all-important questions of what, where and when to innovate on scalable ideas.

With respect to the "what", we would point to Coke Creations as KO's solution to connect with gamers and music fans (particularly younger consumers), with the goal to bring more attention to the brand. In terms of "where", we think the marked success of Minute Maid Pulpy is perhaps one of the best examples of lifting & shifting to date. The product was first launched in China

over a decade ago as a more premium offering to local consumers then went on to quickly expand across a number of other markets. And we would think KO's ability to thoughtfully cluster an opportunity and map out optimal launch plans only strengthens from here given the deeper understanding of global profit pools that now exists. Regarding the question of “when” to innovate, KO prefers to enter white space just as momentum is building but before it has really scaled. For example, acting on the desire for “immunity” products that emerged over pandemic would have resulted in bringing something to market after the preference had already started to lose steam. Instead, the company iterated on the concept of immunity to a broader “hydration” need, which helped bring Bodyarmor Flash IV to the US and Aquarius Newater to Japan right as that consumer need state really started to pick up.

When taken together, we see the System as now being more agile such that it can respond to, and make decisions on, real-time data. Likewise, KO with its global bottling partners, possesses a uniquely deep understanding of which ideas can work globally vs. regionally vs. locally, resulting in more targeted and effective reinvestment behind its bets.

Recruitment is back at the heart of KO’s strategy given the crucial role it plays in driving category growth and market share. There is a greater focus on weekly+ consumers and KO now has tools in place to actually track this metric. To be sure, we wouldn’t characterize the idea itself as new for KO within the past year but the ability to quantify progress on this front surely is. Recall back at our 2021 Global Consumer Staples Conference, James Quincey had discussed that marketing efforts were historically aimed at increasing frequency of the loyal consumer base and shared an ambition to make a bigger push towards broadening the pool of weekly drinkers. And then at the Conference in 2023 he acknowledged, “one person can’t keep drinking more, you need more people in the franchise if you want to keep growing”. And indeed, it seems we’ve heard the topic of weekly+ recruitment come up with increasing frequency over the last year or so.

Accordingly, KO is now investing with consumer behavior (“recruitment”) in mind, rather than consumer perception (“brand love”). Historically, KO’s TV-centric marketing approach would connect with the majority of the population, regardless of how consumers interacted with KO’s brands and categories, if at all. With today’s digital-led model, the company can better segment consumers based on their current engagement levels and future intentions: weekly+, intenders, neutrals, and rejectors. This more segmented approach means KO can get smarter on allocating its resources towards consumers that either drink KO products at a low frequency or those who currently opt for a competitor brand in one of KO’s categories (positive intenders) – and, just as importantly, not waste resources on consumers who don’t interact with KO’s categories/ products in the first place (rejectors).

Efficient & effective investment driving stronger top line & in turn, improving profitability

While setting up an effective framework to drive consumer relevance as detailed above is important, so too are the financial results that come from it. Between 2019-2022, KO increased gross profit per \$1 of ad spend by +9% (which presumably will have moved even higher in 2023), a strong example of how new capabilities are being better leveraged through the P&L. Further, the innovation success rate doubled from 2019 to 2022, and profit per launch grew +12% on average over the same time frame. And both these stats arguably matter all the more when considering KO’s stated goal to drive at least 25% of gross profit growth from innovation annually – which extends beyond product innovation to also include efforts in packaging (e.g. light-weight bottles) and equipment (e.g. Shaken cocktail dispenser machine, which drove 30-40% sales lift during its tests at the Mercedes Benz stadium in Atlanta).

Marketing & innovation are just two examples of how a changed approach can magnify ROI, although there are surely many others across more internally-oriented processes, such as shared services and finance. Though KO has had multi-year periods of expanding operating margins in the recent past (e.g. 2016/17), back then it was more a matter of brute force cost cutting versus strategic leveraging of investment dollars across the P&L. We think the progress on these fronts was also underlying comments from CFO John Murphy during his fireside chat at a conference in late November where he kept reinforcing the notion of flexibility in the P&L. To be sure, Consensus estimates already look to have roughly ~50 bps of margin expansion built in for 2024 & beyond, but we think the notion of better operating leverage & margin expansion being inherent in the business model hasn't yet been adequately reflected in sentiment on KO shares.

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The Coca-Cola Company (KO, 17-Jan-2024, USD 59.99), Overweight/Neutral, CD/CE/E/J/K/L/M/N

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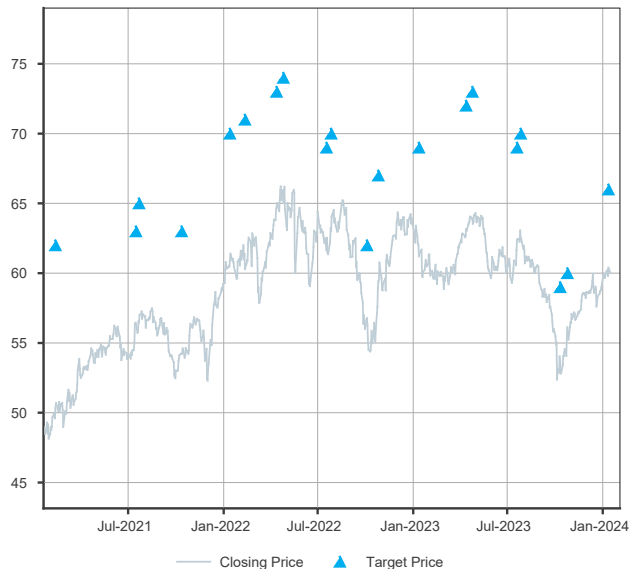
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 59.99** (17-Jan-2024)

Rating and Price Target Chart - USD (as of 17-Jan-2024)

Currency=USD



Source: IDC, Barclays Research

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Publication Date	Closing Price*	Rating	Adjusted Price Target
12-Jan-2024	59.81		66.00
25-Oct-2023	55.64		60.00
11-Oct-2023	54.03		59.00
27-Jul-2023	63.05		70.00
20-Jul-2023	61.64		69.00
25-Apr-2023	63.95		73.00
13-Apr-2023	62.69		72.00
12-Jan-2023	61.21		69.00
26-Oct-2022	58.95		67.00
04-Oct-2022	56.78		62.00
27-Jul-2022	63.21		70.00
18-Jul-2022	61.65		69.00
26-Apr-2022	65.94		74.00
13-Apr-2022	64.73		73.00
11-Feb-2022	61.38		71.00
13-Jan-2022	60.90		70.00
12-Oct-2021	54.23		63.00
22-Jul-2021	56.47		65.00
16-Jul-2021	56.40		63.00
11-Feb-2021	50.30		62.00

On 17-Jan-2021, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 59.00.

Source: Bloomberg, Barclays Research

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